

In this topic, you will explore the importance of an organisation's structure in the successful application of business analytics along with the different types of organisational structures. You will also learn about the challenges posed by organisational structures and how this can impact the business analytics application.

As an analyst, your duties and responsibilities will be based on the organisational structure of the company, so it is important to understand these concepts to be successful in your job.

Organising analysts

Analysts, projects and data are frequently found scattered across an organisation and there is often disagreement about where they should reside within an organisation. For instance, should they be a standalone unit or should they be embedded within various departments or both?

In recent times, however, there has been a clear trend toward centralisation of all three elements to optimise outcomes. Skilled and experienced analysts are a scarce and high-demand resource and being in a central agency, an organisation can utilise these skills to work on most important projects, including cross-functional and enterprise-wide projects. Such a structure not only helps the organisation but also facilitates the development of analysts' skills, as there is an increased opportunity to connect and learn from one another. A centralised structure is also more attractive for new recruitment as it demonstrates organisational commitment.

Before you jump into the types of organisational structures, it is important to understand the purpose of having an organisational structure.

Organisational structures serve two purposes:

- current projects — effectively assigning and deploying individuals to projects
- future projects — developing 'analytics health' (skills and experience) as well as teamwork.

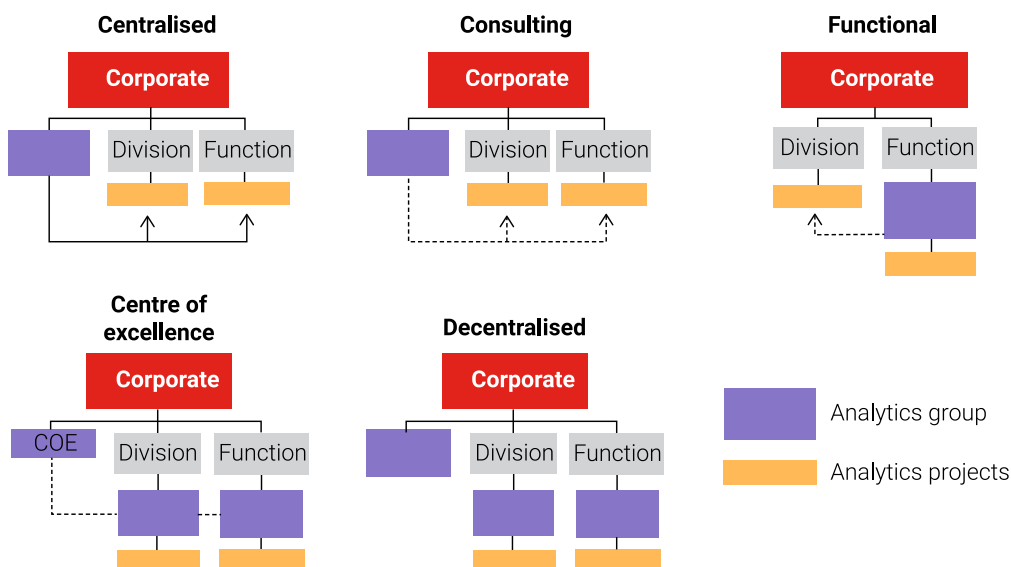
These two goals are interrelated and in conflict as they raise two key questions:

- What is the optimal structure for above purposes, current and future projects?
- What are the necessary and best ways to coordinate across such groups?

Some of the common organisational structures seen across industries are represented in the image below.

Figure 4.1

Common organisational structures



(Click on the image to expand)

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You will now look at each of these organisational structures in detail.

Centralised

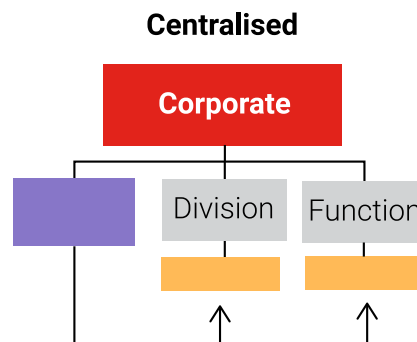
As the name suggests, and as shown in the image below, the analytics group is a centralised unit and operates as a single business unit/department where analytics projects for different departments are managed by a single unit. This structure is effective as it helps in:

- effective management and prioritisation of individuals
- developing skills and building community.

However, this structure can also create a void between analysts and business functions.

Figure 4.2

Centralised organisational structure



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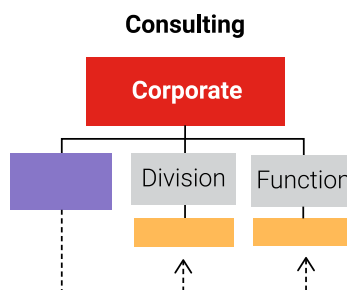
[\[Image transcript\]](#)

Consulting

Consulting, as shown in the image below, is similar to the centralised structure but instead of analysts being deployed into projects, the projects 'hire' analysts. Basically, the analytics business unit will have their own revenue targets to achieve. Such an organisational structure is a market-driven model, so analysts must make the market demand smart. This also means that the analysts may end up working for highest bidder instead of business value / strategic advantage.

Figure 4.3

Consulting organisational structure



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[\[Image transcript\]](#)

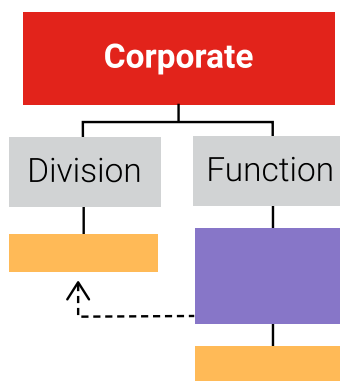
Functional or 'best home'

As shown in the image below, in a functional or a 'best home' structure, the analysts are grouped into the business unit or function that is the primary provider of analytic projects. In this structure, analysts provide services as consultants to the rest of the organisation. Many financial services and manufacturing firms maintain this model. This model is agile, and the analytics unit can move around across functions as and when the projects are completed.

Figure 4.4

Functional organisational structure

Functional



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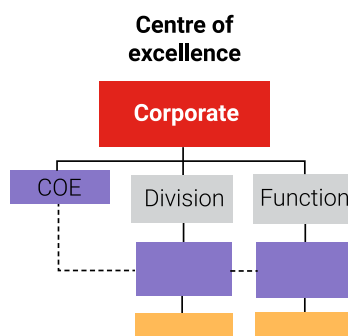
[\[Image transcript\]](#)

Centre of excellence

This structure is less centralised with some organisation-level coordination. In such a structure, analysts are based primarily in business functions and units, but their activities are coordinated by a small central group, as shown in the image below, and the COEs are responsible for training, technology adoption and facilitating communication.

Figure 4.5

Centre of excellence organisational structure



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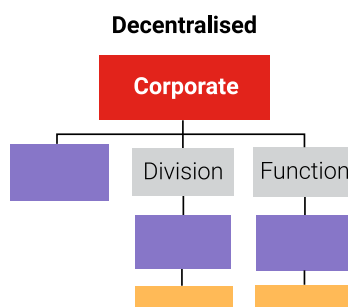
[\[Image transcript\]](#)

Decentralised

In a decentralised structure, analysts are associated with business units and functions without a corporate reporting or consolidating structure, as shown in the image below. Such a structure may encounter difficulties setting up enterprise priorities and developing and deploying staff effectively. This type of structure is most appropriate in a diversified multi-business corporation where the businesses have little in common.

Figure 4.6

Decentralised organisational structure



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[\[Image transcript\]](#)

No matter what structure an organisation uses, the primary goals of business analytics are the same. They are:

- improve processes
- improve structures
- improve capabilities
- improve transactions.

Organisation barriers

While organisational structures are critical to the success of business analytics, there are scenarios where they can also become barriers to the process of business analytics. Some of the barriers of organisational structures are:

- prioritising — there are too many decisions to address and no clarity on which project should be prioritised
- conflicts of interests — between analysts and senior management
- accountability — most decision makers would rather avoid accountability
- lack of creativity — becoming too engineering-focused might limit creativity
- lack of technology — decision-making technologies are not well developed and structured.

Now that you have learnt about the different types of organisational structures, it's time to practice. In the activity below, identify the type of organisational structure and drag and drop your answers in the correct box.

Centralis

 Check

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Analytics roles in an organisation

Some of the key analytics roles in an organisation are:

- **Data analyst:** transforms business questions into data queries. The data analyst knows how business operates and the strategic objectives of the organisation. They use data to derive insights from the research activities and communicate findings to senior management for decision making.
- **Data engineer:** is responsible for getting data into analytics platforms, which allows the data scientists to analyse the data and utilise it. The data engineer collects data from different sources and publishes core datasets after cleaning and transforming.

- **Business analyst:** uses data to identify problems and make strategic business decisions to solve the identified problems. However, the business analyst does not perform a deep technical analysis of the data. These professionals operate at the conceptual level, defining strategy and communicating with stakeholders, and are concerned with the business implications of application of business analytics. They have extensive experience and knowledge on how business operates.
- **Chief data officer:** oversees operations of the entire data team and reports directly to the CEO or the CTO.
- **Data architect:** designs, creates and manages an organisation's data architecture.

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